

Projected Y11 Performance 		
Scoring Measures	Year 11	Investor Expectations
Earnings Per Share	\$2.28	\$2.50
Return On Equity	19.6%	21.0%
Credit Rating	A-	B+
Image Rating	64	70
Other Measures	Year 11	Change from Y10
Net Revenues (\$000s)	448,270	+3.6%
Net Profit (\$000s)	45,682	+14.2%
Ending Cash (\$000s)	53,933	+47,859

CORPORATE SOCIAL RESPONSIBILITY AND CITIZENSHIP

Below are seven CSRC initiatives that can be used to develop a "social responsibility strategy" for your company. The drop-down selection boxes below offer several optional actions.

While undertaking CSRC initiatives is often considered "the right thing to do", one reason to operate in a socially responsible manner is to enhance the company's image. Aggressive and astute pursuit of a social responsibility strategy over 5 years can increase the company's Image Rating by 15 to 20 points.

Which (if any) of the seven initiatives to pursue and how much to spend is entirely voluntary. There is no pressure to spend anything on these initiatives. The company can perform successfully without undertaking any social responsibility initiatives. In Year 10, prior company management spent no money on any of the seven optional social responsibility initiatives.

The Help button at the top-right offers further information and guid-ance regarding the seven CSRC initiatives.

CSRC INITIATIVES

Use of Recycled Boxing / Packaging

No

Involves the use of recycled packaging materials to box each pair of athletic footwear at company distribution centers. Increases shoe packaging costs by \$0.15 per pair.

Energy Efficiency Initiatives

\$ (\$000s)

Involves investments at each production facility for each million pairs of production capability to improve energy efficiency and use renewable energy sources. Treated as capital investment depreciated at 10% per year.

Charitable Contributions

\$ or of pretax profit

Involves making tax-deductible donations to charities and charitable causes. Reported on the Income Statement under "Other Expense" (reduces pre-tax profits).

Ethics Training / Enforcement

No

Involves training for and development / enforcement of a code of ethics for company managers at all levels. Increases corporate administrative expenses by \$400k annually.

Improved Working Conditions

Cafeteria and On-Site Child Care Facilities for Plant Employees

Involves one-time capital investment of \$2.5 million and increased administrative costs of \$600k annually per facility. Results in a one-time productivity increase of 100 pairs per worker at each facility.

Additional Safety Equipment and Improved Lighting / Ventilation

Involves one-time capital investment of \$3.0 million and increased administrative costs of \$500k annually per facility. Results in a one-time productivity increase of 100 pairs per worker at each facility.

Institution of a Supplier Code of Conduct

Involves compliance monitoring of supplier employment practices and working conditions to prevent 50+ hour work weeks, substandard wages, use of underage labor, exposure to toxic materials, and lax safety practices. Entails added annual administrative costs of \$750k per facility.

Cash Outlays for Corporate Social Responsibility and Citizenship in Year 11				Total Cash Outlays (\$000s)		\$0	Per Pair Sold (\$ per pair)		\$0.00																								
Company CSRC Efforts		Year6	Year7	Year8	Year9	Year10	The information below indicates the range of CSRC effort being exerted by the companies in your industry. These statistics should be helpful in craft-ing your own company's CSRC strategy.																										
Recycled Boxing / Packaging		No	No	No	No	No	Industry 5 CSRC Cash Outlays <table><tr><td></td><td></td><td>Year9</td><td>Year10</td></tr><tr><td rowspan="3">Thousands of \$</td><td>High</td><td>0</td><td>0</td></tr><tr><td>Average</td><td>0</td><td>0</td></tr><tr><td>Low</td><td>0</td><td>0</td></tr><tr><td rowspan="3">\$ Per Unit Sold</td><td>High</td><td>0.00</td><td>0.00</td></tr><tr><td>Average</td><td>0.00</td><td>0.00</td></tr><tr><td>Low</td><td>0.00</td><td>0.00</td></tr></table> Industry 5 CSRC Cash Outlays Table					Year9	Year10	Thousands of \$	High	0	0	Average	0	0	Low	0	0	\$ Per Unit Sold	High	0.00	0.00	Average	0.00	0.00	Low	0.00	0.00
		Year9	Year10																														
Thousands of \$	High	0	0																														
	Average	0	0																														
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\$ Per Unit Sold	High	0.00	0.00																														
	Average	0.00	0.00																														
	Low	0.00	0.00																														
Energy Efficiency Initiatives (\$000s)		0	0	0	0	0																											
Charitable Contributions (\$000s)		0	0	0	0	0																											
Ethics Training / Enforcement		No	No	No	No	No																											
Improved Working Conditions	Facilities	No	No	No	No	No																											
	Safety/Lighting	No	No	No	No	No																											
Supplier Code of Conduct		No	No	No	No	No																											
Total Cash Outlays	Thousands of \$	0	0	0	0	0																											
	\$ Per Unit Sold	0.00	0.00	0.00	0.00	0.00																											
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